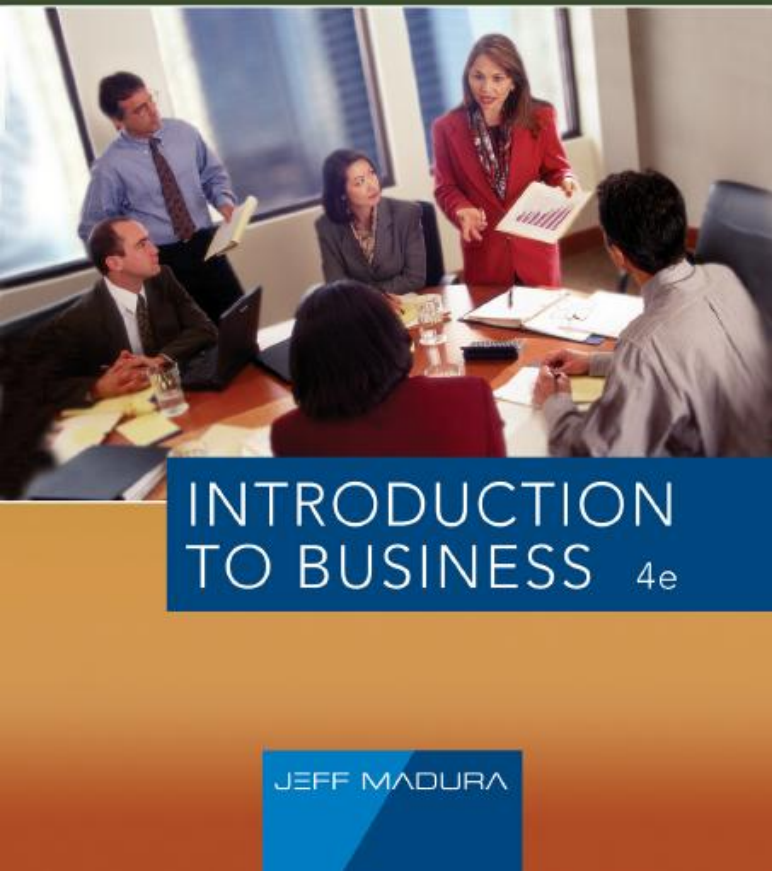
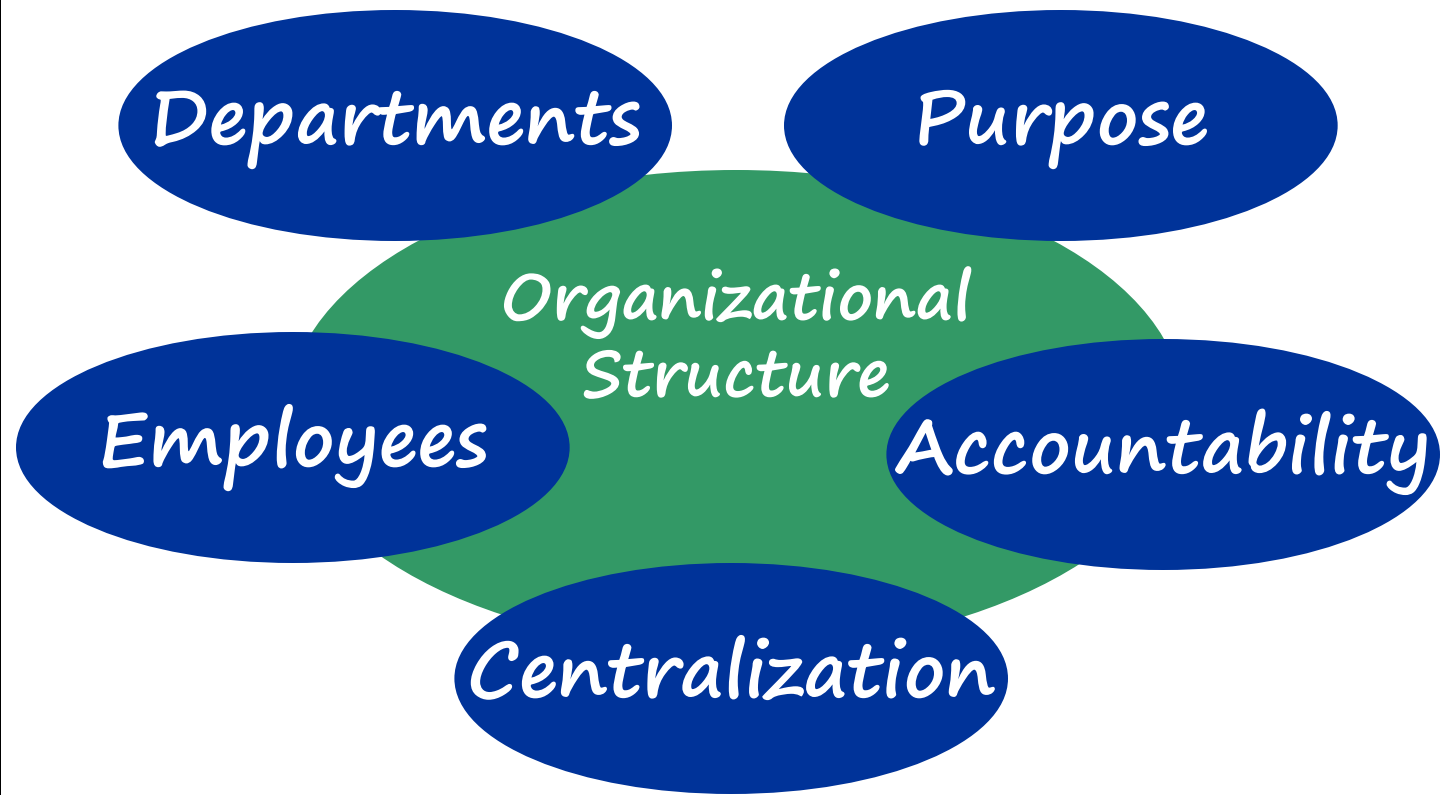


Chapter 8

Organizational Structure



Learning Objectives



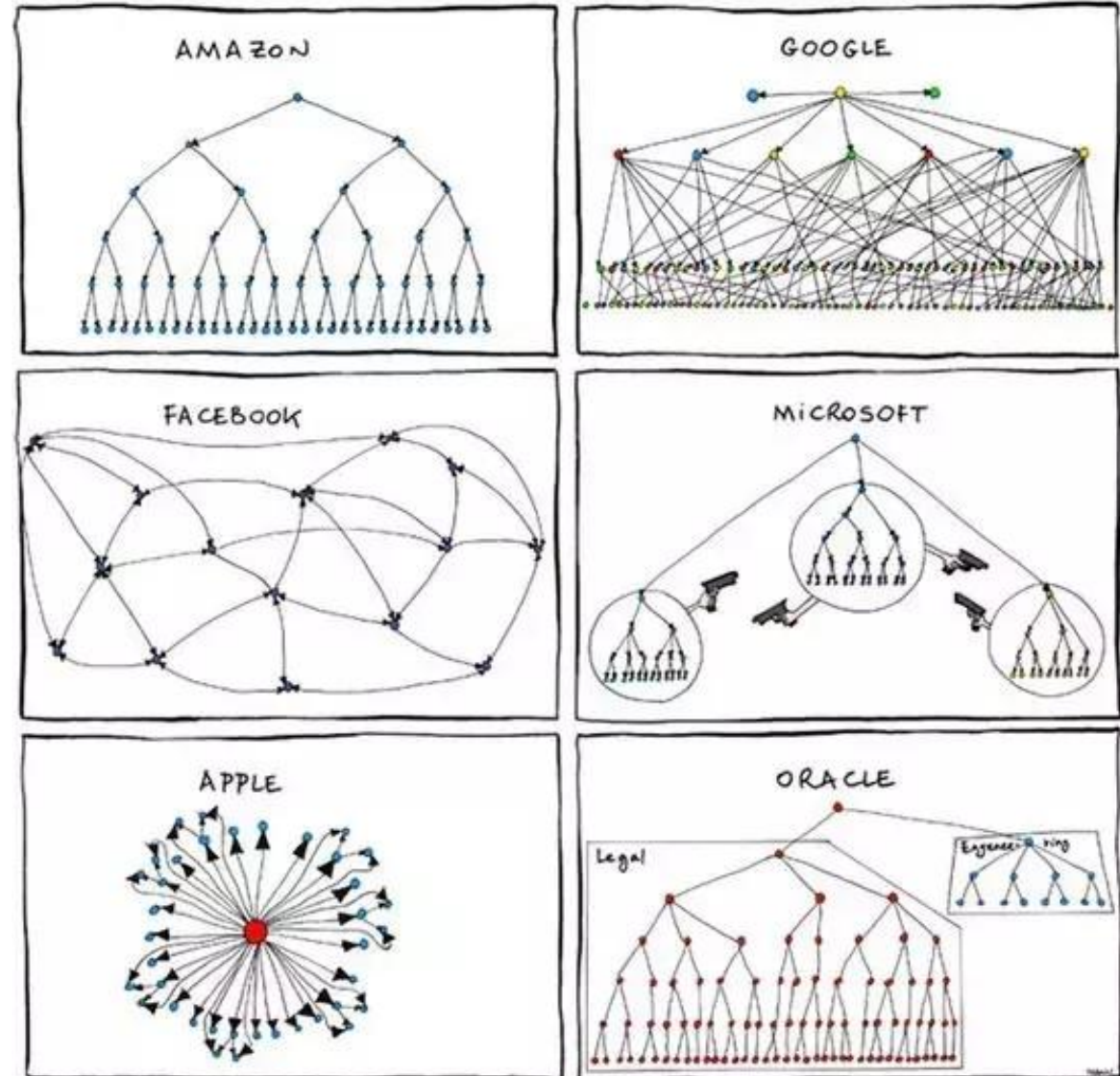
Organizational Structure

What is important when we want
to build up a good team?



Organizational Structure

科技公司组织架构图



Organizational Structure

科技公司组织架构图



Organizational Structure

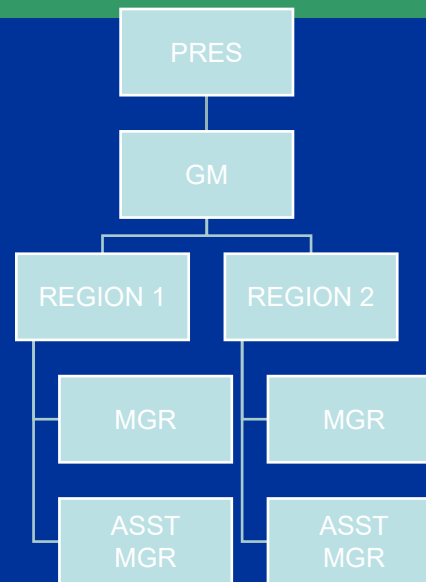
Purpose
Accountability
Centralization
Employees
Departments



Purpose of Structure

Organizational Structure

Chain of Command



Organizational Structure

Purpose
Accountability
Centralization
Employees
Departments

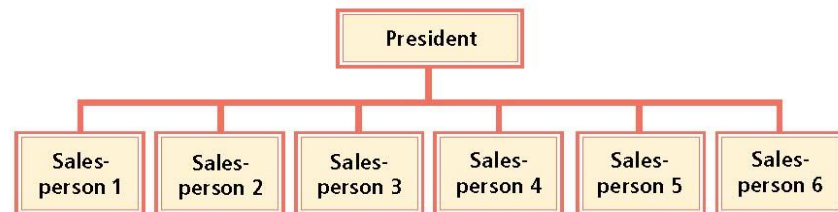


Varying Structures

Narrow Span of Control



Wide Span of Control



Span of Control

Organizational Height

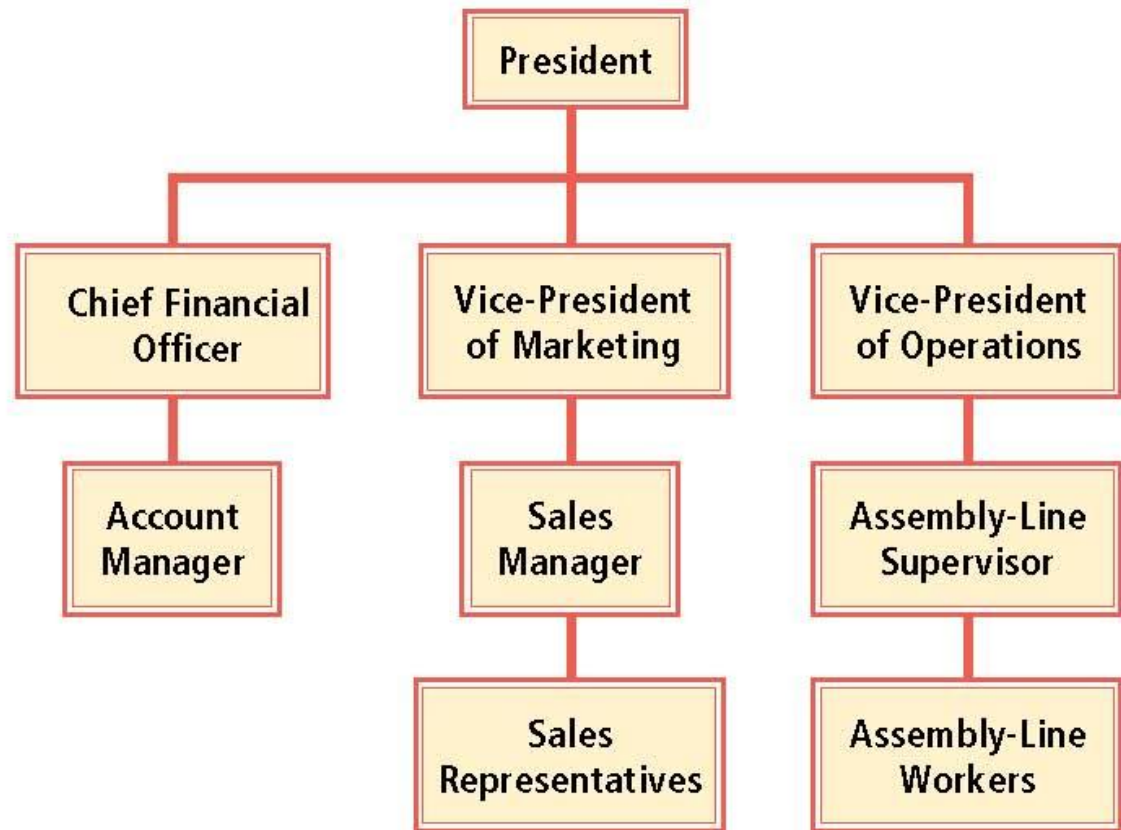
Organizational Structure

Purpose
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Centralization
Employees
Departments



Line versus Staff

Line Organization



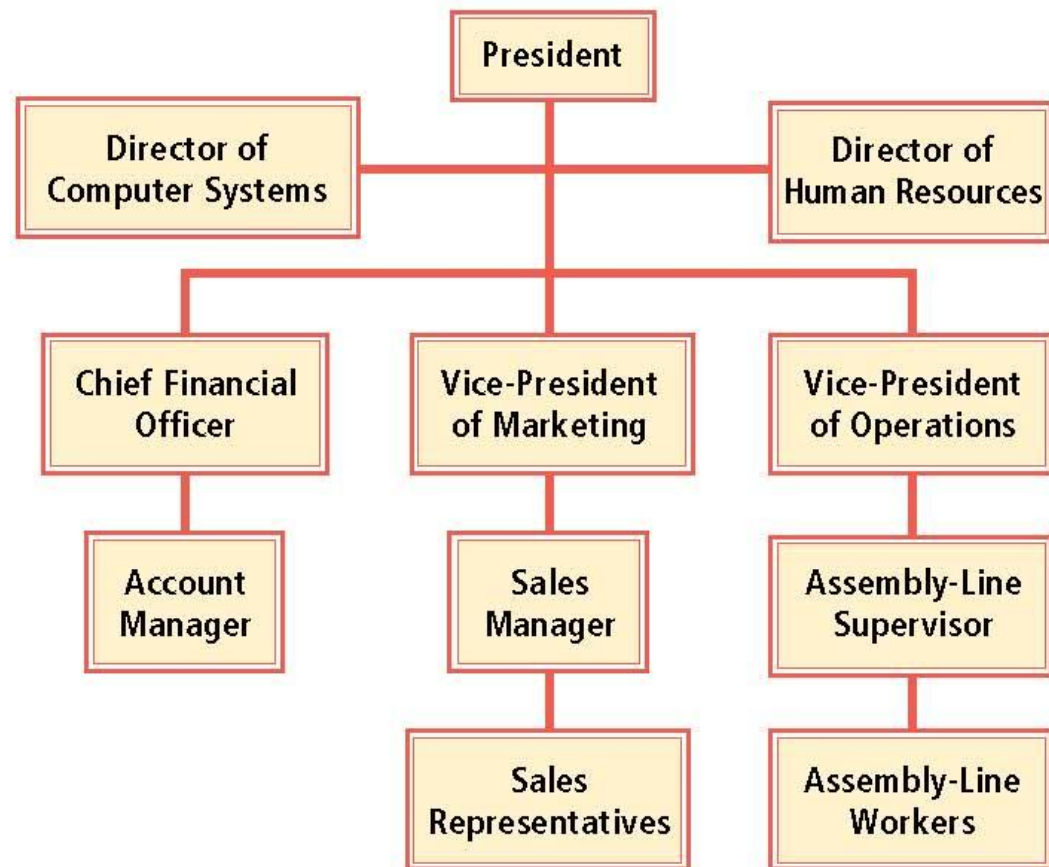
Organizational Structure

Purpose
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Line versus Staff

Line-and-Staff Organization



Organizational Structure

Purpose
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Varying Structures

新理念
前沿讲座
CUTTINGEDGE LECTURES

组织与流程规划设计

主讲人：王翔

战略制定与实施专家



Organizational Structure

Purpose
Accountability
Centralization
Employees
Departments



Board of Directors

Background	Percentage of Firms Whose Board Members Have That Background
Executives of other firms	69%
Major investors in the firm	36%
Retired business executives	30%
Attorneys	29%
Accountants	22%
Bankers	18%
Business consultants	13%
Customers	2%
Others	3%

Organizational Structure

Purpose
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Employees
Departments



Board Committees



Compensation



Nominating



Audit

Organizational Structure

Purpose
Accountability
Centralization
Employees
Departments



Centralized – Decentralized



Centralized

Decentralized

Organizational Structure

Degree of Decentralization

Purpose
Accountability
Centralization
Employees
Departments

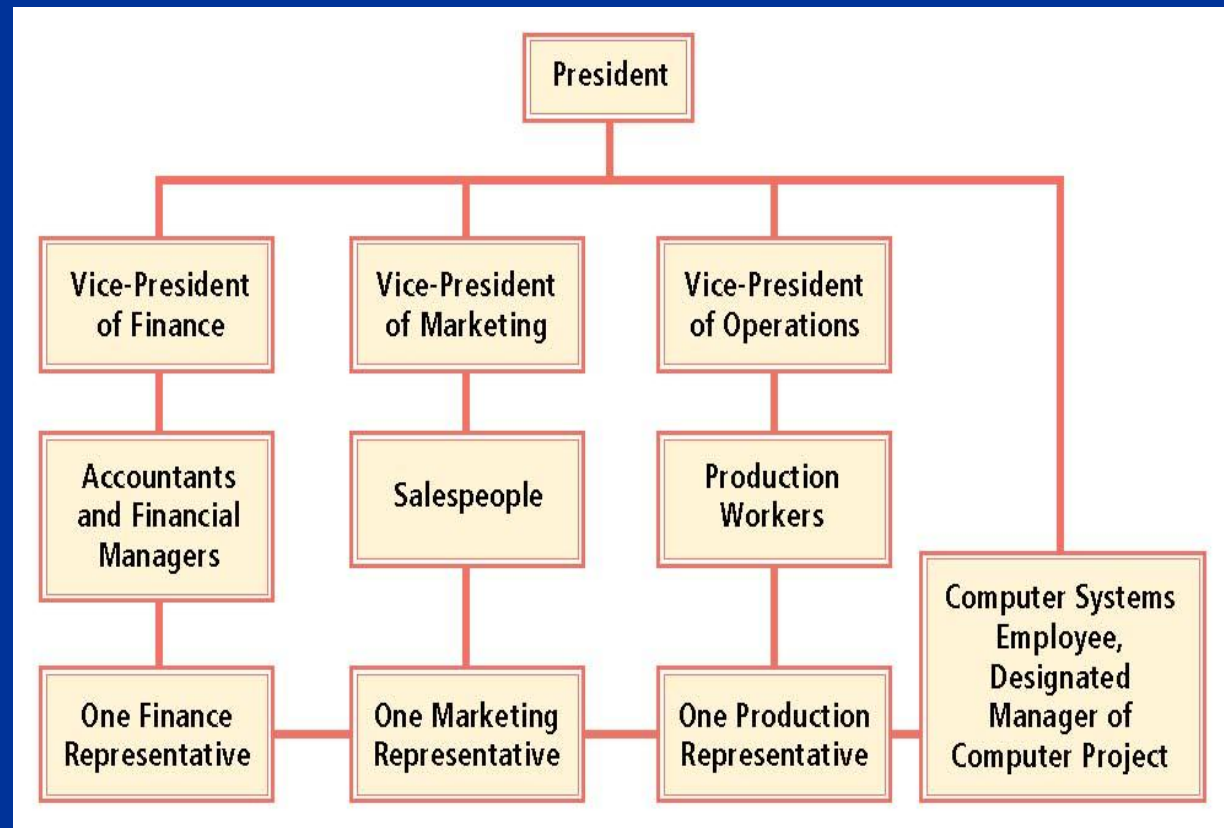


Organizational Structure

Purpose
Accountability
Centralization
Employees
Departments



Matrix Organization



Organizational Structure

Purpose
Accountability
Centralization
Employees
Departments



Intrapreneurship



Purpose
Accountability
Centralization
Employees
Departments



Intrapreneurship

Intrapreneurship (内企业家精神) 指员工在企业内部以创业者的思维和行动推动创新，通过自主发起项目或改进现有流程，为企业创造新价值。

The term intrapreneurship refers to a system that allows an employee to act like an entrepreneur within a company or other organization. Intrapreneurs are **self-motivated**, **proactive**, and **action-oriented** people who take the initiative to pursue an innovative product or service. An intrapreneur knows failure does not have a personal cost as it does for an entrepreneur since the organization absorbs losses that arise from failure.

海尔管理模式创新探索



Organizational Structure

Purpose
Accountability
Centralization
Employees
Departments



Intrapreneurship



Organizational Structure

Purpose
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Employees
Departments



Informal Organization

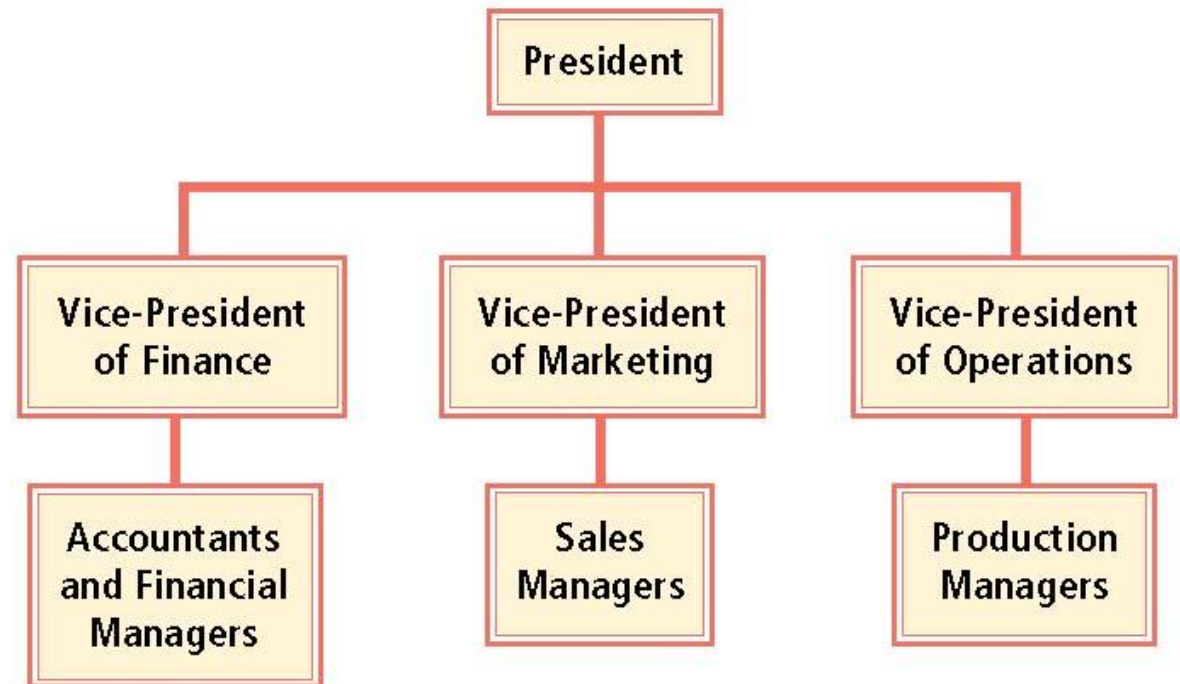


Grapevine

Organizational Structure

Purpose
Accountability
Centralization
Employees
Departments

Departmentalize by Function

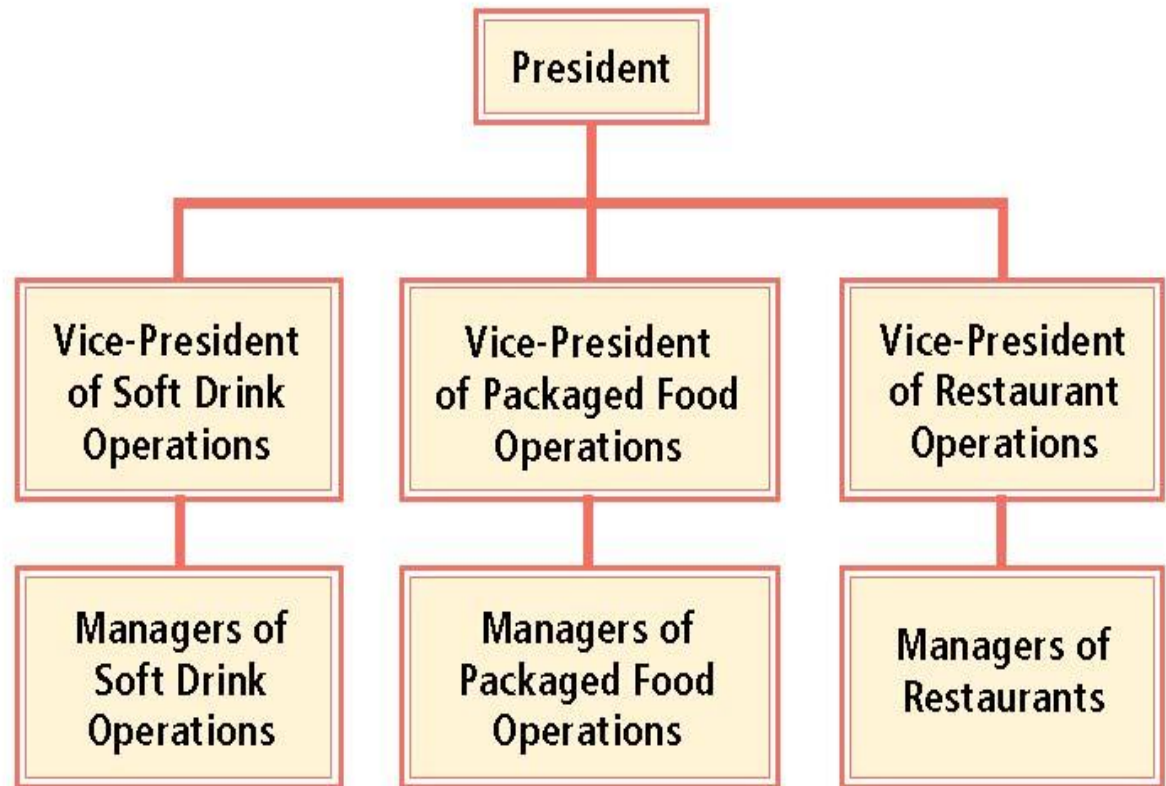


Organizational Structure

Purpose
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Centralization
Employees
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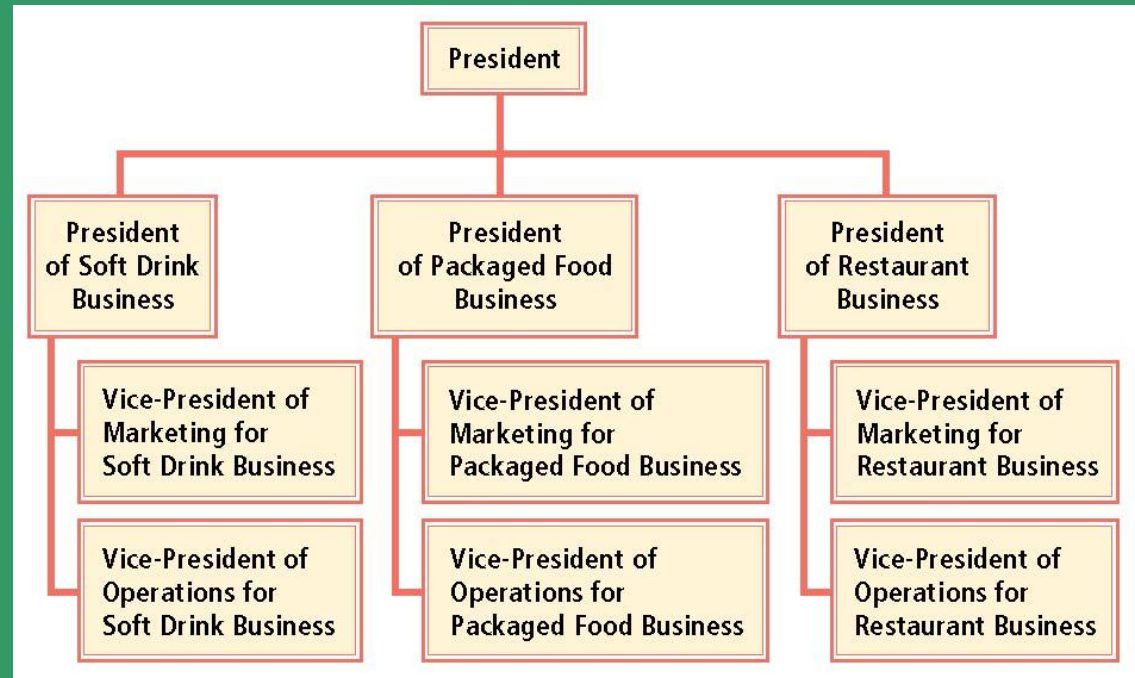
Departmentalize by Product



Organizational Structure

Purpose
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Employees
Departments

Function and Product



Organizational Structure

By Location and Customer

Purpose
Accountability
Centralization
Employees
Departments



Location

Customer

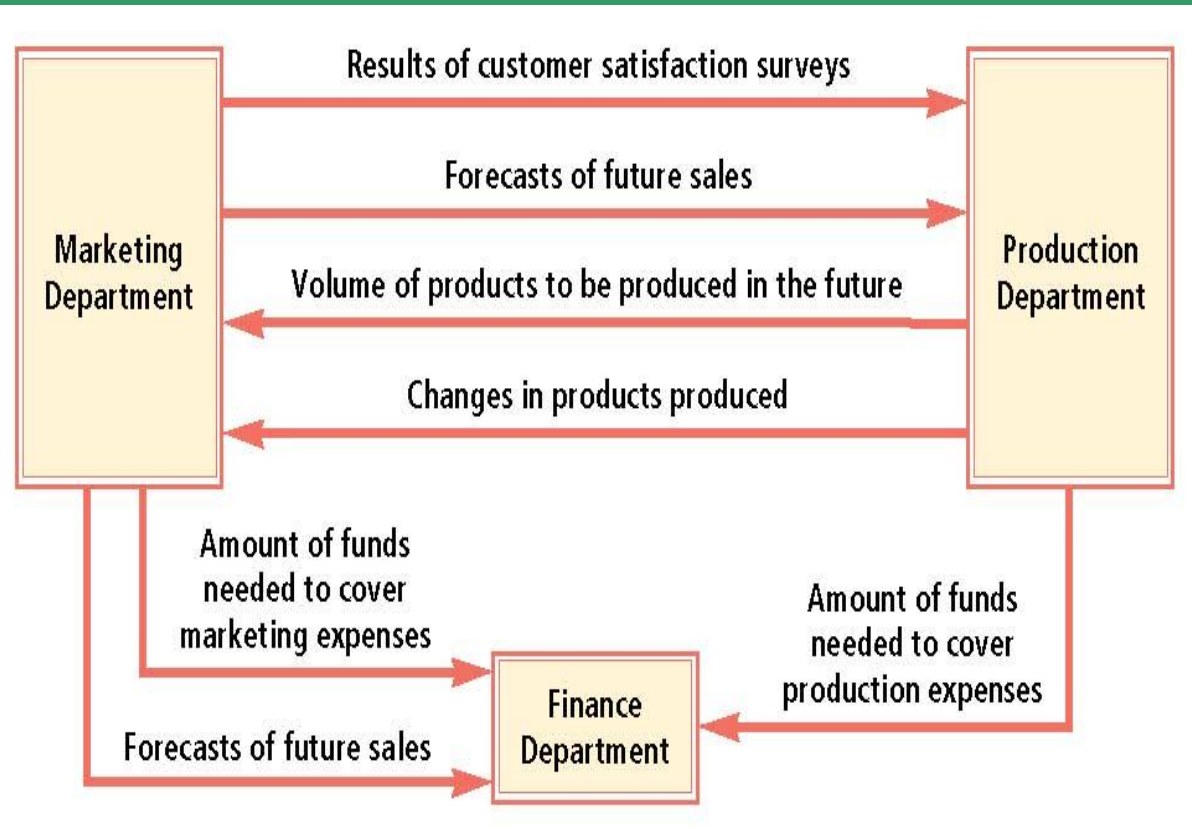


Organizational Structure

Purpose
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Centralization
Employees
Departments



Departmental Communication



Review & Critical Thinking Questions

Explain the following statement: “Generally speaking, no one specific organizational structure is optimal for all firms.”



Review & Critical Thinking Questions

Firms differ tremendously in terms of size and organizational complexity. Some firms consist of a single person or a small group operating out of one location. Others are giant corporations with thousands of employees producing a wide variety of products using facilities spanning the globe. An organizational structure that suits one type of firm will therefore be completely inappropriate for another. Listed below are some reasons why organizational structures may vary across firms:



Review & Critical Thinking Questions

Some firms have a large number of workers performing very similar tasks, while in others the workers are highly specialized. Firms with highly specialized workforces may need to limit the span of control of managers more than firms with a more homogeneous workforce.

Large firms may need many more layers of management than small firms.

Big firms may find it is efficient to departmentalize by product, while small and medium-sized firms would find that departmentalization by function makes more sense.



Review & Critical Thinking Questions

Explain the difference between line positions and staff positions within an organization. Provide examples of each.



Review & Critical Thinking Questions

Line positions are established to make decisions that achieve specific business goals. An example of a line position would be a production manager. Staff positions are established to support the efforts of line positions, rather than to achieve specific goals of the firm. Staff positions provide assistance to the line positions, while the authority to make decisions is assigned to the line positions.



Review & Critical Thinking Questions

An example of a staff position would be a human resource manager. He or she would assist the various departments within the firm but would not have the authority to make decisions that achieve specific business goals. An example of a line position would be a sales manager, a sales representative, or a vice president of a specific department.



Review & Critical Thinking Questions

Explain the phrase “cross-functional teamwork” and how it relates to interaction among departments.



Review & Critical Thinking Questions

Although each department appears independent of the others on the organization chart, executives in charge of their respective functions must interact with the other departments. For example, the marketing department needs to be aware of any changes in the production of a product and the volume of the product that will be available before it finalizes its marketing strategies.



Review & Critical Thinking Questions

The production department needs customer satisfaction information as it considers redesigning products. It also needs to receive forecasts of expected sales from the marketing department, which affect the decision of how much to produce. The marketing and production departments provide the finance department with their forecasts of funds needed to cover their expenses. The finance department uses this information along with other information to determine whether it needs to obtain additional financing for the firm.

